Module 12
Business Finance

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

To: Owners of the Group
From: Financial Controller of the Group
Date: xx/xx/xxxx
Remarks: Industry attractiveness and Profitability Analysis of the GAI industry

Porter's five forces model will be used to analyse the competitive environment to assess the industry attractiveness and profitability of the GAI industry.

Threat of new entrants

Threat of new entrants assesses whether an industry is open to new companies to join that determines the industry attractiveness and profitability for the participating and new companies in the industry. There are no legal and registration requirements to participate in the research and development of GAI industry so any company can participate in the industry. Moreover, GAI business lacks robust product differentiation which hampers the attraction of new companies for GAI development and the provision of similar services to customers that erode the profitability of the industry. Nevertheless, there are high capital requirements to develop a new GAI because it will incur high start-up and operating cost to acquire computer chips and to use databases, and this is a barrier of entry to the GAI industry. Overall, even though there are low legal barriers of new entrants in the GAI business, the industry has been dominated by a few big companies that erodes the industry attractiveness and profitability of new and small companies of the GAI industry.

Threat of substitutions

Substitute products are a key factor in determining the industry attractiveness and profitability of the industry. The price that users are willing to pay for the use of GAI is low as they have the options to choose GAI to fit their uses and requirements. Since there are different GAIs that offer similar services to the user, there is a strong threat of substitutions that existing GAI companies cannot charge higher prices than others in the market. Moreover, since the demand elasticity of GAI is comparatively elastic due to the availability of different GAIs, it limits companies to charge higher price to users to use GAI that reduce the industry attractiveness and profitability of the GAI industry.

Bargaining power of suppliers

The bargaining power of suppliers determine the costs of research and development of GAI and the bargaining power of suppliers is determined by size and scale. Suppliers of GPU computer chips are huge and strong, and they have very high bargaining power to sell computer chips of GAI and the price of GPU is expensive and may not be available due to shortage in supply. The database used to train and develop GAI is also costly, so GAI developers must pay a high price to access the database. Moreover, the shortage of supply of research and development of GAI professionals who must be hired at high compensation and good career paths affects the development of new GAI. Overall, there are strong bargaining power of suppliers that reduce the industry attractiveness and profitability of the GAI industry.

Bargaining of customers

The bargaining power of customers determines the industry attractiveness and profitability of GAI business because it affects the price charged to users and market share of the business. The customers have strong bargaining power as they have many alternative sources to choose from including large chipmakers, cloud computing companies and many other GAI developers in the market. The opportunity for individual companies to increase their market share is also limited as the market has been dominated by reputable multinational companies. Therefore it reduces the industry attractiveness and profitability of the GAI industry.

Rivalry among industrial competitors

There is a direct relationship between the level of competition among industry participants and the level of attractiveness and profitability in the GAI industry. Aggressive GAI competition reduces industry attractiveness and profitability of the industry. There is little product differentiation in GAI offered to users which encourages price competition to attract users and reduces the industry attractiveness and profitability of the industry. Moreover, there is high operating gearing in research and development of GAI so a small drop in price and market share will generate a significant reduction in profitability for the company. Also, the GAI market is dominated by a few huge multi-national companies that increase the rivalry among small GAI companies in term of pricing and market shares that reduce industry attractiveness and profitability of the GAI industry.

Conclusively, the industry attractiveness and profitability of the GAI industry are low due to strong threat of substitutes, high bargaining power of customers, high bargaining power of suppliers and high rivalry among industrial competitors.

Answer 1(b)

Based on Porter's five forces analysis in question 1(a), the following are the advice on whether the Group should decide to further develop FIChat.

Even though the threat of new entrants is low legally, the industry has been dominated by a few big companies, and the Group is small and will find it difficult to compete with those large multi-national GAI companies. Hence, the Group should avoid expanding its research and development of FIChat.

As there is strong threat of substitute GAI products that compete with FIChat, it may further reduce the price and/ or market share of FIChat. Moreover, the costs of developing FIChat are very high and the new computer chip GPUs are expensive. It is therefore not financially feasible to further develop FIChat due to high cost, low profitability and strong competition.

The bargaining power of suppliers of GAI is very strong, the Group may not be able to buy sufficient GPUs due to high price and short supply of GPU. It is also very costly to hire research and development professionals to further develop FIChat. Hence, it is not feasible operationally and financially to further develop FIChat and the Group should consider stopping its development.

The bargaining power of customers of GAI is very strong. Even though the Group currently has users using FIChat the subscription revenue is low while the operating costs are high, and this erodes the profitability of the Group. Moreover, users have the options to use other GAIs so it is not easy to increase revenue and market share of FIChat. The Group should consider stopping further development of FIChat.

The rivalry among GAI industrial competitors is very strong. The Group may not be able to develop FIChat further to achieve high profitability due to higher costs and reduction of market share. Since the Group is not able to compete with those huge and reputable GAI competitors, it is not financially feasible to further develop FIChat under such strong rivalry scenario.

Based on the above analysis, it is recommended to stop further development of FIChat due to uncertain revenue and high costs with diminishing market shares that erodes profitability of FIChat.

Answer 2

The building block model should be recommended to the Group because it is exclusively developed to measure performance of service businesses that have inseparability, perishability, heterogeneity, intangibility and ownership characteristics and are different from businesses producing physical goods. The building block model connects the company's strategic objectives to forward looking and non-financial measures. It has three building blocks, namely dimensions, standards and rewards to measure the performance of the new AI, ML and GAI consultancy service business.

The dimensions building block includes six key possible and valuable outcomes:

Financial performance measures the actual financial results. For example, the Group can use minimum gross profit ratio to measure the financial performance of each consultancy service job to ensure profitability of consultancy job.

Competitiveness measures consultancy service market share, variable and fixed costs of provision of consultancy services. For example, the cost of each consultancy service job will be benchmarked to previous completed jobs to strengthen cost controls and avoid overspending.

Quality of services measures the reliability, responsiveness and assurance of the consultancy services. For example, the Group could measure whether their professionals can response to clients' enquiries within 24 hours.

Flexibility measures the company's ability and speed to revise consultancy service outputs or pre-consultancy service specifications. For example, the Group allows customers to change the specifications of service outputs within 2 weeks after signing the contract that is flexible to fit customers' needs and requirements.

Resource allocation measures the effectiveness of resources. For example, the Group can set up policy to control the numbers of professionals that can be used in a consultancy project, and it should depend on the complexity and billing amount of the consultancy project.

Innovation measures the improvements and time taken to implement new ideas and services consultancy services and processes. For example, the Group can use different innovative and new methods to use AI, ML and GAI to provide innovative solutions to customers.

The rewards building block provides a framework to evaluate the effectiveness of the performance metrics in the dimensions building block. There are three reward building blocks:

Clarity is important to evaluate the effectiveness of the performance metrics so that employees can understand and use these performance metrics easily. For example, the company should explain each performance metric to employees when the Group starts using the framework.

Motivation should be incorporated in each measurement to align and congruent with the vision of the Group that is to become the leading AI, ML and GAI consultancy service company in Asia. For example, the company can participate in different AI, ML and GAI competitions to motivate employees to win consultancy service awards in different Asian countries that could motivate employees to work toward the vision of the Group.

Controllability should be given to consultancy professionals who are authorised to use resources to achieve performance measures that they are responsible for. For example, the Group should allow consultancy professionals to access different AI, ML and GAIs to work in different consultancy service jobs and to fulfil customers' needs and requirements.

There are three standards in standards building blocks if the performance measurement system is to be effective. They are:

Ownership should be imposed on managers and management who are involved to set up and qualify measures to achieve defined outcomes. For example, the consultancy service professionals should be given authority to set up profitability level of each consultancy service job.

Achievability is important. Therefore, goals to managers should be specific, measurable, attainable, relevant and time bound and is realistic to avoid demotivating employees. For example, consultancy service professionals would be assigned certain numbers of consultancy service projects without overloading the professionals.

The whole performance measurement system should be viewed as equitable and transparent by employees. For example, the company should have formal and transparent bonus policies applied to different levels of professionals in different projects.

Answer 3(a)

Short term financing
Short term financing includes the use of a range of instruments, such as overdrafts, lines of credits, accounts receivable and leasing supported by collateral to support one or two years financing to the Group.

Overdrafts
An overdraft facility is short term financing to pay for unexpected cash shortfalls to a pre-determined limit set by the bank. Overdrafts have high interest charges with additional administrative fees and should not be used frequently. No commitment fee will be charged and borrower can use it when it is necessary. The Group can set up overdrafts when a current account is opened based on certain collateral requirements agreed with the bank. The Group can use the overdrafts to pay for unexpected operating expenses.

Lines of credits
Lines of credits are offered by financial institutions and provide borrowers to meet short-term funding requirements up to the credit limit agreed with by the financial institute. It is common and easy to use and usually requires collateral to support the lines of credits. The interest rate is charged at prime plus that is determined by borrower's credit history and creditability. The Group can draw down part of lines of credits and pay interest on drawdown portion. The Group can use accounts receivables as a collateral to borrow money from the bank and will repay when they receive settlements from customers. The Group can use lines of credits to finance working capital.

Accounts receivable
Accounts receivable financing is an important source of financing for small and medium-size businesses. The borrower can secure a bank loan by pleading accounts receivable as collateral to the bank, which will collect the accounts receivable on behalf of the company to settle bank loan when it is due and unpaid, and the borrower is responsible to pay back the unsettled portion of accounts receivable to the bank. The Group can also sell the accounts receivable to a factor to get immediate financing to pay off its liabilities. The factor can be sold without recourse at a discount then the Group has no legal obligation to the factor. It is the fastest way to obtain money from accounts receivable without waiting for settlement from customers. Since the accounts receivable from multinational companies and universities are more reliable and trustworthy, the Group can negotiate for lower discount rates with the factor.

Leasing
Leasing is a common method to acquire fixed assets, such as computer servers and office equipment. The lessee will pay the leasing company a principal and interest for a specific asset. Since the Group will pledge a specific asset as collateral, it is easier to arrange lease financing and the Group can purchase computer servers and office equipment through lease financing to reduce the financing costs.

Medium term financing
Traditional form of medium-term financing include revolving credit facilities, medium term bank loans and some types of bonds. Medium-term financing can provide up to two-to-five-years financing to the Group.

Medium term revolving credit facility
It can be arranged to extend the short-term financing in lines of credits. The conditions for obtaining revolving credit facility is similar to lines of credits. The borrowers can draw down the revolving credit facilities for financing if necessary and the borrowers do not need to repay used portion of the revolving credit facilities in short term that is more flexible than lines of credits. Due to the medium nature of the revolving credit facility, the Group can use medium term revolving credit facilities to acquire fixed assets, such as computer servers and office equipment.

Medium-term bank loan
A medium-term bank loan can help borrowers to meet medium-term financing to acquire fixed assets or to provide financing to develop businesses. Borrowers will negotiate with the bank the amount, maturity and the interest rate of the bank loan that are all documented in bank covenants. The borrower must comply with the bank covenants otherwise the bank can ask the borrower to repay the principal and interest immediately. The loan amount and interest of medium-term bank loan will be determined by the borrower's creditworthiness and financial performance. The bank will ask for collateral, such as accounts receivable, or personal guarantee to back up the medium-term bank loan that can reduce the interest rate. The Group can obtain medium-term bank loans to support working capital and to acquire computer servers and office equipment to develop their consultancy business.

Bonds
A medium-term bond can be used to provide medium term financing for acquisition of fixed assets or business development. A bond is issued with fixed interest rate and all terms and conditions are documented in the bond indenture document agreed between the bond issuer and investor. The borrower is obliged to pay interest payments and to redeem the bond when the bond matures. Bonds should be back up by collateral with comparatively lower interest rate except debenture that is a bond issued with no collateral with higher interest rate. The bond holders have the senior right to claim settlement in case of liquidation of the borrower. The Group can consider issuing debenture to obtain stable and fixed interest payment and repayment medium financing to finance working capital, to acquire computer servers and office equipment and to develop new consultancy business.

Answer 3(b)

The financial controller is a certified public accountant and has to follow ethical principles based on HKICPA Code of Ethics for Professional Accountants ("COE") 110.1 A1 to handle the request from the financial consultant, who asked for commission and aggressive business plan and financial forecast to obtain financing for the Group.

The financial controller has to act with integrity, which requires the financial controller to act honestly, straightforward, with fair dealing and truthfulness to handle financing matters. The financial controller should not produce false or misleading business plans and financials to obtain financing for the Group. If the Group has to pay commission to obtain financing, the financial controller should report to the board of directors to seek approval.

The financial controller has to act with objectivity, which requires the financial controller not to compromise his professional or business judgement due to bias and undue influence of the financial consultant. The financial controller should not produce an aggressive business plan and financial forecast such that the Group cannot realise the business plan and financial forecast objectively and realistically.

The financial controller should also act with professional competence and due care to prepare financial information based on relevant technical, professional and business knowledge and competence with due care. The financial controller should be diligent and competent to select suitable accounting standards and assumptions to prepare financial information to stakeholders.

Since the financial controller is requested by the owner to meet the financial consultant to obtain financing for the Group, the financial controller should disclose the request of the financial consultant to the owner without violating the confidentiality principle. The financial controller should disclose all details about the meeting with the financial consultant to the owner and advise the owner not to follow the advice of the financial consultant to provide an aggressive plan and financial forecast to obtain financing for the Group.

Lastly, the financial controller should comply with the law, which demands ethical requirements in professional behavior. The financial controller does not break any law to prepare business plan and financial forecast to obtain financing if the financial controller honestly prepares these documents without intention to mislead or deceive any financial institute to provide financing to the Group, which must be proved with evidence by the financial controller. Nevertheless, the financial controller has to make sure it is legal to pay the commission to the financial consultant who helps to obtain financing from financial institute because the financial institute may not know that the financial consultant accepts commission to get financing for the Group, which may violate the Prevention of Bribery Ordinance Section 9 concerning corruptive transactions with agents. The financial controller should not pay commission to the financial consultant if the financial institute is not aware and agrees with the commission payment.

Answer 4

Option 1:
Coupons per 6 months = HK$1,000 x 0.025 x 0.5 x (1 – 0.165) = $10.44

Redemption value = HK$1,000 x (1 + 0.045) = HK$1,045

Cost of debt (post-tax) = 6% x (1 – 0.165) = 5.01% p.a. that is equivalent to 2.505% per semi-annual period that is the discount rate.

NPV of cash outflows on a post-tax basis = PV of coupons + PV of redemption amount

Periods	**1**	**2**	**3**	**4**	**NPV**
Coupon	10.44	10.44	10.44	10.44	
Discount rate	0.98	0.95	0.93	0.91	
PV coupon	10.23	9.92	9.71	9.5	39.36
Redemption amount				1,045	950.95
NPV of cash outflow					990.31
Face value					1,000
NPV					9.69

The total NPV of 4,000 unsecured instrument = HK$9.69 x 4,000 = HK$38,760.

Option 2:
Coupons p.a. = HK$1,000 x 0.035 x (1 – 0.165) = HK$29.23

Redemption value = Conversion ratio x Estimated share price = 50 x HK$20 = HK$1,000

Yield to maturity = 4% x (1 – 0.165) = 3.34% p.a.

NPV of cash outflows on a post-tax basis = PV of coupons + PV of redemption amount

Periods	**1**	**2**	**NPV**
Coupon	29.23	29.23	
Discount rate	0.97	0.94	
PV coupon	28.35	27.48	55.83
Redemption amount		1,000	940
NPV of cash outflow			995.83
Face value			1,000
NPV			4.17

The Group has issued the instrument with face value of HK$4 millions of HK$1,000. It represents 4,000 redeemable convertible instruments.

Total NPV for 4,000 redeemable convertible instruments = HK$4.17 x 4,000 = HK$16,680.

Based on the above analysis, option 1 provides the highest total NPV and therefore provide the greatest benefits in terms of cash inflow to the Group.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5(a)

	Year 0 HK$	Year 1 HK$	Year 2 HK$	Year 3 HK$	Year 4 HK$	Year 5 HK$
Purchasing of Property	(240,000,000)					
Transaction cost	(31,200,000)					
Renovation cost	(10,000,000)					
Rent saved		12,000,000	13,200,000	14,520,000	15,972,000	17,569,200
Selling of property						240,000,000
Total cash flow	(281,200,000)	12,000,000	13,200,000	14,520,000	15,972,000	257,569,200
Discount rate (4%)	1.00	0.96	0.92	0.89	0.85	0.82
NPV	(281,200,000)	11,520,000	12,144,000	12,922,800	13,576,200	211,206,744
Total NPV						(19,830,256)

The NPV of this purchase is negative, so Tiger should not purchase in this case.

Answer 5(b)

Possible assumptions under the control of Tiger that could be changed and would result in different recommendation include:

1. The amount spent on renovation.

2. Whether to hold the property for longer than five years. The NPV could become positive if the property is held for a longer period, which would make purchasing the property an attractive option.

Answer 5(c)

Besides quantitative factors like the NPV, Tiger shall also consider the following factors when they consider accepting the offer to buy the property.

1. Whether the location of the property is a strategic location for Tiger's retail channel, and whether Tiger may face the risk of not obtaining a property at the same location in future if it does not purchase it now.

2. After owning the property, it gives Tiger a higher certainty that it can stay at the same property as long as it wishes. Tiger will be more willing to invest in (i.e. renovate) the property, which would elevate the quality of their watch shop as well as their customer experience.

3. Purchasing a property can protect Tiger against unpredictable rent fluctuation and allow the company to stabilise a significant portion of its operating costs, which provides consistency for financial planning and operational strategies. Tiger is no longer vulnerable to potential sharp increases in rent due to external factors such as shifts in the real estate market, economic trends, or changes in local regulations.

4. The future situation of the property market. In considering whether to purchase a property, Tiger must assess the property market trend and the property value in the long run. While property ownership could offer significant capital gains, Tiger should also assess the downside risk and avoid capital loss as a result of a lower property value when the property is disposed by considering the long-term trend of the property market.

5. If Tiger has its own property, it will potentially save the moving and renovation costs as a result of being forced to move to another rental property in the future.

Answer 6(a)

The due diligence process of "Operation Due Diligence" includes the following:

1. Capital expenditure projects completed and planned: Provide a detailed overview of the coffee chain's past and future investments in infrastructure, equipment, and facilities to assess the company's commitment to growth and its ability to meet future demands. Consider any projects that may have potential dispute with contractors.

2. Summary of equipment/ stores leased vs owned: Evaluate the coffee chain's leasing and respective leasing contract with their landlord. The ability and certainty for those coffee chain stores to be operating in the foreseeable future.

3. Human resource and employee concerns: Assess the coffee chain's human resource management practices, including employee satisfaction, turnover rates, and any existing or potential labor disputes, non-compliance as employers, understand the overall health of the workforce and potential risks.

4. Summary of employee benefits and compensation policy: Review the coffee chain's employee benefits package, including healthcare, retirement plans, and other benefits, to understand the company's approach to attracting and retaining talent and its competitiveness within the industry.

5. Summary of bonuses, profit sharing, stock options, and pension plans: Examine the coffee chain's incentive programs and retirement benefits to evaluate their effectiveness in motivating employees and aligning their interests with the company's long-term success.

6. Headcount by geographic location and function: Analyse the coffee chain's employee distribution across different regions and job functions to assess staffing levels, identify any concentration risks, and evaluate the adequacy of resources in each area.

7. Policies governing hiring practices, including background, criminal and work eligibility checks: Evaluate the coffee chain's hiring policies and practices, including background checks and eligibility verification, to ensure compliance with legal requirements and mitigate risks associated with hiring unsuitable or ineligible employees.

8. Employee disciplinary policies and historical proceedings: Review the coffee chain's disciplinary policies, including records of past incidents, to assess the company's approach to maintaining employee discipline and mitigating risks related to misconduct or non-compliance.

9. Litigation brought against the company by employees: Investigate any ongoing or past legal disputes between the coffee chain and its employees, analysing the nature of the claims and their potential impact on the company's reputation and financials.

10. Court judgments related to the company: Identify any court rulings or settlements involving the coffee chain to understand the potential liabilities or financial obligations resulting from legal actions. Understand if all the coffee chain stores have obtained necessary licenses for their operations.

11. The traffic (the number of customers that visit the coffee shop), including the productivity indicators such as revenue per headcount, and revenue per square feet of the coffee shop, and understand the underlying reasons for any loss-making stores (if any).

<u>Answer 6(b)</u>

Besides operational due diligence, the following due diligence would be recommended for Tiger before they decide their acquisition, including legal, commercial/ strategic, and financial due diligence. Individuals include Accountants & Auditors, Lawyers, Consultants, Private investigation firms and Investment Banks, who may support these due diligence procedures included:

1. Accountants and Auditors: They scrutinise financial data in transaction documents, identifying potential issues such as tax implications or discrepancies in valuation that could influence price negotiations or deal structure. Accountants identify undisclosed expenses and verify the accuracy of a target's financial statements, including the quality of earnings and projected cash flows.

   Auditors assess risks associated with the acquisition of a new company. Auditors play a critical role in the acquisition process by verifying that the target company's financial reports accurately represent its financial position.

2. Lawyers: Lawyers are involved from the initial non-disclosure agreements ("NDAs") to all subsequent information exchanges, playing a significant role in the due diligence process.

   This acquisition involves business in another jurisdiction, i.e. Macau, therefore Macau lawyer's involvement is crucial. Additional legal experts may be brought in to assess specific concerns, such as intellectual property, environmental, regulatory, and antitrust challenges.

3. Consultants: They provide advice and perspective throughout the business merging process. Consultants can assist boards and managers by formulating strategies to secure the deal, analysing the performance of the target company, and predicting market reactions such as advising whether Superb shall keep two brands of coffee chains in future, assisting Tiger to assess the synergy of the acquisition, etc.

4. Private Investigation Firms and Investment Bankers: In some situations, a company may employ an investigative firm to assist with the due diligence process. These firms work alongside the rest of the team and support lawyers in gathering information.

   Investment Bankers devise strategies and identify potential targets, assess the value of the target and arrange financing. The target company's bankers, while marketing the deal, would assess potential buyers.

Answer 6(c)

The Business Review Section of the Director's Report must include ESG discussions, including Superb's compliance with the relevant laws and regulations that have a significant impact on Superb.

As well as a discussion of Superb's environmental policies and performance.

The Business Review Section of the Director's Report regarding ESG Report must also include an account of Superb's key relationships with its employees, customers and suppliers and others that have a significant impact on Superb and on which Superb's success depends.

Answer 7(a)

The bank's forecast of EUR to HKD after three months is accurate	65%	8.00
The exchange rate of EUR to HKD after three months stays the same as today	25%	8.50
The exchange rate of EUR to HKD becomes 1:9 after three months	10%	9.00
The expected value of EUR to HKD exchange rate		8.225

	(Exchange Loss) HKD$
<u>Without Hedging</u> 10,000,000 x (8.225 – 8.5)	(2,750,000)
<u>With 50% Hedging</u> 5,000,000 x (8.35 – 8.5) (Exchange gain / (loss) of 50% portion under hedging)	(750,000)
5,000,000 x (8.225 – 8.5) Or 50% of exchange loss of 2,750,000 calculated (Exchange loss of 50% portion without hedging)	(1,375,000)
Net exchange loss under 50% hedging with forward	(2,125,000)
With hedging, exchange loss is reduced by 2,750,000 – 2,125,000	625,000

Purple shall consider hedging the exposure as it could reduce the exchange loss.

Answer 7(b)

The bank's forecast of EUR to HKD after 3 months year is accurate (exercise the option at 1:8.35)	65%	8.35
The exchange rate of EUR to HKD after three months stays the same as today (Option is not exercised)	25%	8.50
The exchange rate of EUR to HKD become 1:9 after three months	10%	9.00
The expected value of EUR to HKD exchange rate after hedging with Option		8.45

	(Exchange Loss) HKD$
With 50% Hedging with Option 5,000,000 x (8.45 – 8.5) (50% portion under hedging with option)	(250,000)
5,000,000 x (8.225 – 8.5) (50% portion without hedging)	(1,375,000)
Cost of Option 5,000,000 x 3% x 8.35	(1,252,500)
Total of net exchange loss and cost of hedging	(2,877,500)
Total loss is increased by 2,877,500 – 2,750,000	127,500

Purple shall not consider hedging the exposure with option as it could not reduce the exchange loss compared with using currency forward.

Answer 7(c)

Currency Forward

Advantages:

- Forward contracts can be customised to specific amounts and dates, providing flexibility for the business. Locking in the present price or rate for future transactions, forward transactions can be completely hedged, eliminating the risk of adverse currency movements.

- There's typically no upfront cost to enter into a forward contract although there would be a possible margin requirement that is factored into the forward contract rate offered by the counterparty.

Disadvantages:

- Purple will not benefit from a favourable price or rate shift, due to the locked-in transaction price or rate.

- Credit Risk: The other party to the forward contract might fail to fulfill their obligations i.e. default which would lead to credit risk.

- Lack of Liquidity: Forward contracts are contracting with a counterparty directly without a mature trading platform so this is less liquidity comparing with currency options. It would make Purple harder to exit the hedge before the maturity.

Currency Option

Advantages:

- Potential Upside: Unlike forwards, Options provide the potential to benefit from favorable currency movements. If the currency moves favorably, Purple can let the option expire and transact at the better market rate. In other words, the maximum loss is defined by the premium paid for the option.

- There are second markets for options which provide flexibility for Purple to change their hedge strategy before maturity.

Disadvantages:

- Options require an upfront premium, which can be substantial and is lost entirely if the option is not exercised.

* * * END OF EXAMINATION PAPER * * *